

LMND pitch deck

Both benches landed REJECT — no position either way — so this deck is a no-entry deck with reopen conditions rather than entry bands. Writing it now from the court record. (One admin note: the claude.ai Gmail/Calendar/Drive connectors still need authorization in your claude.ai connector settings before those tools work in these sessions; IBKR market-data calls were also permission-denied in both benches, which the deck flags as an open gap.)

PITCH — LMND — PROPOSED VERDICT (PROPOSED — PENDING ADJUDICATION): REJECT — no position, long or short; re-open the case five trading days before the confirmed Q3 earnings date

What we believe

Lemonade the business is genuinely improving, and we should say so plainly: the adjusted operating loss halved year-over-year (−\$18.7M this quarter vs −\$40.9M a year ago), and real cash flow — the plain GAAP kind, not the company's adjusted version — improved from −\$41.7M to −\$4.0M for the first half. The second half of 2025 already produced +\$25.2M of GAAP operating cash. This is not a company hiding deterioration behind adjusted metrics; the two measures are converging, in the right direction.

What we do *not* believe is that we have any information advantage today. The entire investment question hinges on one promise: management held its full-year loss guidance, which arithmetically requires the fourth quarter to swing from a −\$19M quarterly loss to roughly +\$8M positive — their own stated number. That swing has to happen across a hurricane-season third quarter in which the company *chose* to keep more of its own catastrophe risk (it cut the share of premiums passed to reinsurers from ~20% to ~18%, effective July 1). The single best analytical point either bench made: keeping more premium is not outside validation of the business — it's management leaning harder into its own promise, which *widens* the range of outcomes in exactly the quarters the promise must be kept. The extra retained premium is only ~\$7M per quarter, but the tail risk it retains is hurricane-shaped.

So: improving business, one clearly-dated make-or-break event ~55 trading days away, and nothing we know that the market doesn't. That's a calendar reminder, not a trade.

What the market believes

The market is bearish and crowded-bearish. The stock is at \$52.64, down 47% from its 52-week high of \$99.90 and only 14% above its 52-week low, after falling 24% on the July 29 earnings day despite an improved loss ratio ([The Insurer](#)). Roughly 27–30% of the freely-trading shares are sold short. The bear story — guidance merely held rather than raised, profitability defined on an adjusted basis that excludes stock compensation, a CFO transition announced the same day — is thoroughly public and thoroughly

positioned-for. The stock trades at roughly 3.35× this year’s guided revenue, a valuation nobody in this court verified as fair or unfair.

Why we might have edge

Honestly: today, we don’t, and the court’s core finding is precisely that. What *could* become edge, and is worth the re-court:

1. **The Q4 hinge is checkable before the market checks it.** Five days before the Q3 print, we can reconstruct retained hurricane-season losses (state-by-state catastrophe exposure × the new 18% retention) and bridge premium-in-force to earned revenue. If that reconstruction says the +\$8M Q4 promise is safe or dead, we’d know something the price may not reflect.
2. **The short side is a coiled spring for a long.** With 27–30% of the float short, a clean Q3 plus a confirmed Q4 swing to profit would force heavy short-covering. That mechanical fuel benefits a long entered *before* confirmation — but only if the reconstruction gives us a real reason to believe.
3. **Free leading indicators exist and aren’t wired.** App-store review velocity is a usable early read on customer growth ahead of the print. Nobody — us included — has it armed yet.

Why it might be priced in

The mirror image, stated with equal weight: every bearish fact we found is already consensus and already positioned (that 27–30% short interest cuts both ways — it means “the quarter was worse than the headline” is not news to anyone). Our checks found *no hidden damage at all*: the insider selling dissolved into two officers selling under \$700k combined of routine option-exercise stock, and the “adjusted cash flow vs real cash flow” gap turned out to be a disclosed financing-program add-back with GAAP converging toward the adjusted number, not away. When a thorough hostile search finds no concealed problems, the remaining bull case is just management’s own promise — which is center-stage in every analyst note and priced by people watching the same calendar we are. And a large piece of the price action remains unexplained: the stock fell ~37% from January to July *before* the earnings drop, and neither bench decomposed that leg (our brokerage data access was denied in both sessions). Buying ahead of understanding that move would be guessing.

What we checked ourselves

Claim	How checked	Found	Confirmed?
Evidence-pack financials current	Cross-checked pack’s XBRL against live SEC data	Pack was four quarters stale — its “newest” revenue row was Q2-2025; share count 73.4M vs actual 77.4M. Both benches caught it; all math below uses live SEC data	✗ pack erred; corrected
“Unresolved insider selling” supports caution	Pulled the actual Form 144s and Form 4s from SEC EDGAR	Two officers, <\$700k combined, routine option-exercise cadence predating the earnings drop. Red bench erred first : called it “one officer” — the 07-06 notice was actually Timothy Bixby, the	✓ claim refuted

Claim	How checked	Found	Confirmed?
		departing CFO (\$118k — noise). Blue corrected the identity; materiality ruling stood	
Adjusted cash flow masks GAAP losses	Live SEC XBRL operating-cash-flow series	H1-26 GAAP – \$4.0M vs –\$41.7M prior year; H2-25 was +\$25.2M. GAAP is converging toward the adjusted metric, not diverging. The gap is a disclosed financing add-back. One honesty footnote: adjusted free cash flow <i>fell</i> year-over-year while marketed as a “5th consecutive positive” quarter	✓ masking refuted; footnote logged
Q4 must swing to ~+\$8M for guidance to hold	Company’s own Q2 report and call transcript	Confirmed — management states it themselves. Cession cut 20%→18% raises retained hurricane-quarter variance (~\$7M/qtr extra retained premium)	✓
27–30% short interest kills any trade	Three independent short-interest sources	Level confirmed (and falling: 15.3M→14.1M shares). Red bench erred second: applied our crowding test as if we were shorting — high short interest is squeeze fuel <i>for</i> a long, not proof a long is priced in. Blue reduced it to sizing/path-variance color	✓ level; ✗ red’s inference
Dilution ~5.6%/yr	SEC XBRL shares outstanding	74.73M (Nov-25) → 77.40M (Aug-26) ≈ 4.8%/yr ; the original thesis mixed two different share-count bases	✓ direction, ✗ magnitude
Nov 4 earnings date	Derived from a data vendor only	No company announcement names it. Unconfirmed	✗ unverified
Jan→Jul –37% price leg explainable	Attempted brokerage price history, both benches	Permission denied both times; the court closed with its largest price move never decomposed	✗ open gap

PROPOSED ENTRY BANDS

The court says **no entry at any price today** — the findings are timing findings, and our discipline routes timing to tripwires, not to standing buy limits. There is deliberately no “buy if it gets to \$X” level: with no view on direction, a bare price trigger would just buy weakness blind. The reopen bands, from the benches’ own math:

- **Primary reopen: confirmed Q3 earnings date minus 5 trading days** ($\approx$ 2026-10-28 if the unconfirmed Nov 4 date holds). Required homework at reopen: (1) retained catastrophe-loss reconstruction — state exposure mix $\times$ the new 18% retention; (2) premium-in-force to earned-revenue bridge; (3) decompose the January→July –37% leg (needs working brokerage data access). Only after those three does the long-starter-vs-flat sizing question get asked.
- **Early reopen (bullish path): short interest below ~15% AND a GAAP-operating-cash-positive quarter** — red bench’s own stated mind-changer; revives a long on an uncrowded, GAAP-confirmed basis.

- **Early reopen (bearish path): a genuine insider-selling cluster** — any filer selling more than 1% of their own holdings, or multiple officers post-print. Today's <\$700k routine sales explicitly do *not* qualify.
- **Early reopen (honesty path): any change in how “adjusted free cash flow” is defined** between quarters — would convert the current footnote into a real integrity finding.
- **Informational only, not an entry: a close below the 52-week low of \$46.16** — triggers the price-leg decomposition immediately rather than waiting for the re-court window.
- **Sizing:** zero now. If the re-court sustains a long, it enters as a starter position sized at adjudication — this deck pre-commits no number.
- **Catalyst dates:** Q3 earnings ~2026-11-04 (**unconfirmed** — vendor-derived, no company PR); re-court ≈ 2026-10-28 (derived from it).

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 46.16 (deck-provisional: 52-week-low break: triggers immediate decomposition of the undecomposed Jan-Jul price leg, information)
- filing watch: 8-K until 2027-02-11 (deck-provisional: company PR/8-K naming the Q3 earnings date starts the re-court clock (print minus 5 trading days))
- dated pack LMND|2026-11-04: LMND: Q3 earnings — the +\$8M Q4-swing guidance hinge; vendor-derived date (date confirmed=False)
- dated pack LMND|2026-10-28: LMND: re-court window opens (print minus 5 trading days, derived from unconfirmed print date) (date confirmed=False)

What remains unverified

- **The Q3 earnings date itself** (Nov 4 is vendor-derived; no company source). The entire reopen schedule hangs on it.
- **The January→July -37% price decline** — never decomposed; brokerage data access was permission-denied in both bench sessions and must be fixed before the re-court.
- **Whether ~3.35× guided revenue is a fair price** — no bench did valuation work; “no hidden damage” is not the same as “attractively priced.”
- **The insured book’s state-by-state catastrophe mix under the new 18% retention** — the exact variance that decides the Q4 promise; requires statutory filings work at re-court.
- **Live tradeable quote** — all prices herein are the pack’s vendor close (\$52.64), not a live broker quote.

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